The RBA lifts the cash rate to 4.85%: what the Board weighed

On Melbourne Cup Day the Monetary Policy Board raised the cash rate target by **25 basis points to 4.85%**, by a majority of **six votes to three**. It judged that inflation is still elevated and broadly based, that capacity pressures are tighter than it thought in August, and that the risk of higher inflation expectations becoming embedded is rising.

WHAT THE BOARD DECIDED

- **Cash rate target** up 25 basis points, from 4.60% to 4.85%. Six members voted to raise it and three voted to leave it unchanged.
- **Reasoning:** given the revised inflation outlook and continuing upside risks, the Board judged that "a further tightening in financial conditions is warranted to support the return of inflation to target".
- **Forward guidance:** it "will continue to do what it considers necessary to bring inflation sustainably back to target" and will be attentive to the data and the evolving outlook. No future path was set.
- **Before the meeting,** markets were pricing about one and a half more rises by mid-2027.

KEY NUMBERS

4.85%
new cash rate target (up from 4.60%)

6–3
Board vote to raise the rate

3.7%
trimmed mean inflation, year to September quarter

4.5%
forecast peak for headline CPI, December 2026 quarter

Four factors that pushed the Board towards a rise

1 Inflation is high and broad-based

3.7% trimmed mean, year to Sept qtr.
Up 1.0% in the quarter (0.8% in June)

The rise was stronger than the August forecasts. A majority of CPI items rose faster than rates consistent with the target. Market services (excluding telecoms and domestic travel) rose 1.3% in the quarter (4.2% over the year) and rents 0.9%.

2 Capacity pressures are tighter than thought

~4¾% staff estimate of the NAIRU, raised a little since August

The output gap was positive in the June and September quarters. Unemployment (4.6% in the September quarter) rose more than expected but is still below the NAIRU, so the labour market is judged "a little tight".

3 An energy price shock from the Middle East

~US$115 Brent crude futures per barrel, about 25% above August

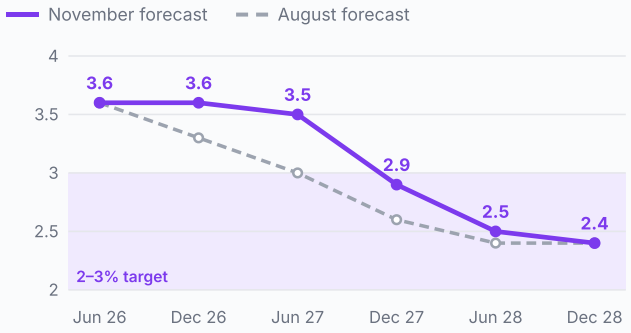
Fuel added around 0.4 percentage points to year-ended headline inflation (3.9% in the September quarter; 4.3% in the month of September). Pump prices are well above the August assumption as refined fuel costs rose and the temporary excise cut ended.

4 Forecasts revised up, expectations rising

2028 when inflation is now seen back at 2½% (mid-year)

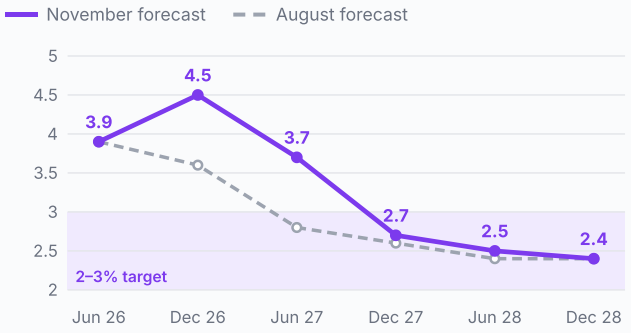
Inflation is expected to stay above 3% until end-2027, about three quarters later than forecast in August. Households' short-term expectations have risen again, and the Board sees an increasing risk that higher expectations become embedded.

LINE CHART **Trimmed mean inflation forecast revised up**



Year-ended, %. Forecasts assume the cash rate follows market pricing at 28 October. Source: RBA SMP, November 2026.

LINE CHART **Headline CPI is forecast to peak at 4.5%**



Year-ended, %. Peak reflects higher fuel prices passing through. Source: RBA SMP, November 2026.

GLOBAL BACKDROP

Energy: the Middle East conflict is unresolved and oil supply remains disrupted, pushing up inflation across most economies.

Demand: growth in Australia's major trading partners has been stronger than expected, helped by the global AI boom.

Rates: government bond yields are at multi-year highs, and most advanced-economy central banks have raised rates or are expected to.

Sources: RBA media release and Statement on Monetary Policy, Nov 2026

Weighing the other side, and how the rise is meant to work

ARGUED FOR RAISING

Broad-based inflation: trimmed mean 3.7%, well above the 2–3% target.

Tighter capacity: NAIRU raised to ~4¾%; output gap positive.

Energy shock passing through to other prices.

Expectations rising, so a risk of embedding.



Board vote, 3 Nov

CONSIDERATIONS FOR CAUTION

Growth is slowing: GDP growth is a little below potential and is forecast to stay below it over coming years.

Housing downturn: prices are almost 5% below the March peak and new lending has fallen sharply.

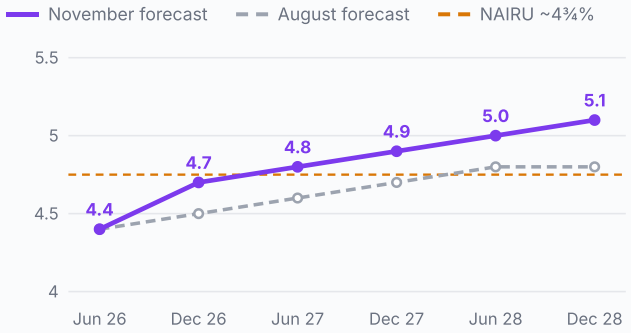
Unemployment rising faster than expected, to 5.1% by end-2028.

Policy already restrictive: the cash rate is slightly above the top of the range of neutral estimates.

The cautions listed are those set out in the Statement. This summary does not attribute them to the three members who voted to hold.

LINE CHART

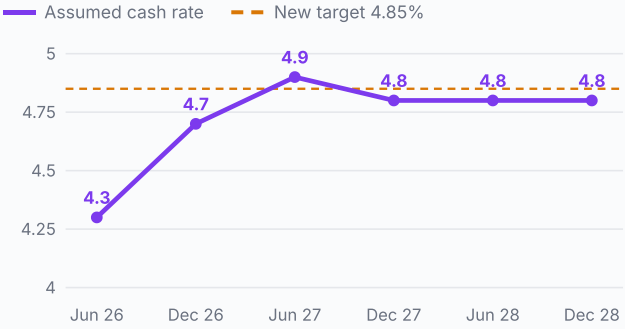
Unemployment is forecast to rise towards 5.1%



Unemployment rate, quarterly average, %. Spare capacity is expected to emerge in 2027. Source: RBA SMP.

LINE CHART

Forecasts assume the cash rate stays high



Quarterly average, %. Based on market pricing at 28 October, before the decision. Up to 50 basis points higher than in August.

FLOW CHART

How the Board expects the rate rise to bring inflation down

Cash rate rises to 4.85% → Borrowing costs rise; housing prices and lending fall → Household spending and dwelling investment weaken → GDP stays below potential; spare capacity emerges in 2027 → **Inflation returns to 2½% by mid-2028**

Policy works with a lag: the Board's forecasts still have inflation above 3% until end-2027. The Statement calls the assumed path of policy "restrictive", though it notes the neutral rate is highly uncertain.

Key risks the Board is watching

1 Energy and expectations
If crude oil stays near **US$100** a barrel, underlying inflation would be about **2¾%** at end-2028, not 2½%.

2 AI demand boom
Stronger AI-related investment, including data centres, could add to capacity pressures and prices, especially in construction.

3 Weaker activity
Larger spending cutbacks would leave GDP about **1.0%** lower by end-2028 and unemployment **0.3 pp** higher.

4 Capacity uncertainty
The Board may have misjudged spare capacity in either direction. Some models point to a tighter labour market than its central view.

Exam angle: use this decision to show that monetary policy works on demand, so it responds to a supply-side energy shock by slowing the whole economy, and that the Board weighs lagged effects, uncertainty about the neutral rate and the NAIRU, and the risk of unemployment rising. A split vote shows the judgement involved.

SYLLABUS LINK

Topic 4 – **Monetary policy**: purpose, implementation by the RBA, factors influencing the Board's decision, the effects of interest rate changes on activity and the exchange rate, and **limitations** (time lags, global influences).

TRY THIS

Explain TWO factors that the RBA's Monetary Policy Board considered in deciding to raise the cash rate to 4.85% in November 2026. **(4 marks)**

RBA media release, 3 Nov 2026: https://www.rba.gov.au/media-releases/2026/mr-26-30.html
RBA, Statement on Monetary Policy, November 2026 (forecasts finalised 28 October 2026)

How the global economy fed into the rate rise

The decision is a Topic 4 policy response, but most of what drove it arrived through Topic 1 channels: world energy markets, the international business cycle, global financial flows and the exchange rate. The Statement stresses that Australia is a small open economy and a **price taker in global financial markets**, so shocks abroad reach domestic prices and interest rates quickly.

~US$115
Brent crude per barrel, about 25% above August

4.0%
trading-partner growth in 2026, against 2.1% for Australia

7
major central banks that raised rates after August (the Bank of England held)

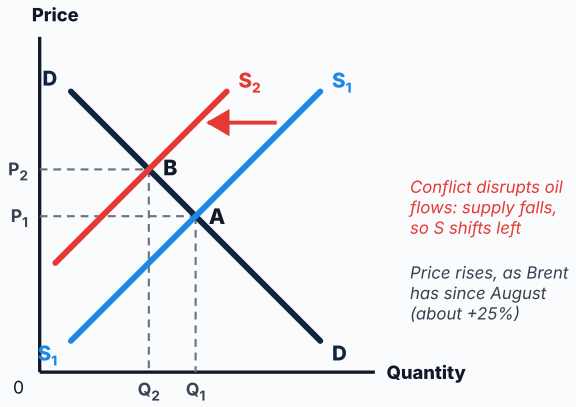
~5%
rise in the A$ (trade-weighted) since the start of 2026

Four channels from the world economy to the RBA's decision

TOPIC 1 CONCEPT	WHAT HAPPENED GLOBALLY	HOW IT REACHED AUSTRALIA	WHY IT MATTERED TO THE BOARD
Trade in goods and energy 1A.3 · imported inflation	The Middle East conflict disrupts oil supply. Refined fuel prices are up 20–25% since August and shipping costs are several times their February level.	Australian pump prices follow world refined-fuel benchmarks, and the temporary fuel excise cut has ended.	Fuel added about 0.4 percentage points to year-ended headline inflation, forecast to peak at 4.5%.
International business cycle 1A.8 · 1D.9	Trading-partner growth is stronger than expected, lifted by the global AI investment boom. It should moderate to about 3.4% by 2028.	Strong world demand supports exports and pushes up the cost of AI-related inputs. Data-centre building competes for local resources.	Capacity pressures were judged tighter than in August, so the staff NAIRU estimate was raised.
Financial flows 1A.4 · 1A.5	The Fed, ECB, BoJ, BoC, RBNZ, Norges Bank and BoK all raised rates after August. Advanced-economy bond yields are near multi-year highs.	Australian yields and bank funding costs move with world markets. Funding costs rose about 80 basis points from January to September.	Markets put about an 85% chance on a November rise. A higher world neutral rate could make policy less restrictive than it looks.
Exchange rate S1.1 · external stability	Yields rose abroad as well as in Australia, so the gap between Australian and overseas yields narrowed only modestly.	The A$ is little changed since August and judged close to its long-run equilibrium level.	The exchange rate has not added tightening since August, so the cash rate carries the adjustment.

DIAGRAM

Trade in goods: a supply shock in the world oil market

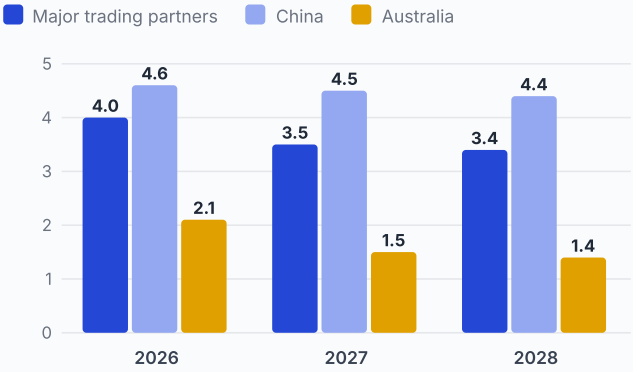


1. The conflict disrupts oil flows, so world supply falls and **S** shifts left to S_2.
2. The price rises from P_1 to P_2 and the quantity traded falls. Brent has risen about 25% since August.
3. Australia cannot set the world price, so it passes into pump prices and the CPI as **imported inflation**.

Illustrative, not to scale. Brent and refined-fuel moves: RBA SMP, Nov 2026.

BAR CHART

International business cycle: partners are growing faster



1. Growth in Australia's major trading partners has been stronger than expected, mainly because of AI-related investment, especially in high-income east Asia.
2. Partner growth is forecast to ease towards trend as the AI boost fades and China moderates. The Board's global forecasts are broadly in line with the IMF's October 2026 *World Economic Outlook*.
3. Australia is growing at about half the pace, so the cycles are out of step, yet world inflation pressures still reach Australia.

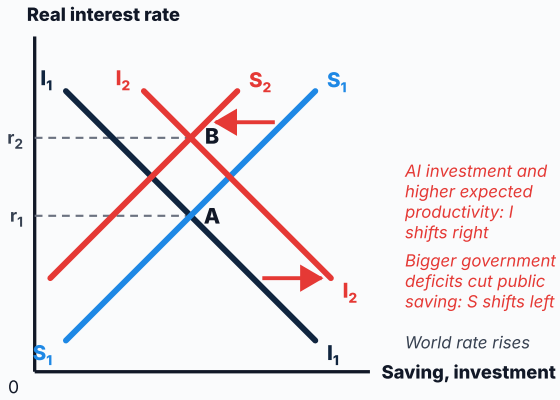
Year-average growth, %. Sources: RBA SMP Nov 2026 (Graph 3.2, Overview table).

Sources: RBA media release and Statement on Monetary Policy, Nov 2026

Global financial flows, investment and the exchange rate

DIAGRAM

Financial flows: world saving, investment and interest rates



1. Higher expected productivity from AI and heavy investment raise the demand for funds: **I** shifts right.
2. Larger government deficits (including defence and energy support) reduce public saving: **S** shifts left.
3. The world real interest rate rises from r_1 to r_2. Australia, a price taker, sees higher bond yields and a higher neutral rate.

Illustrative, not to scale. Drivers: RBA SMP Box B.

TABLE

What moves the neutral interest rate

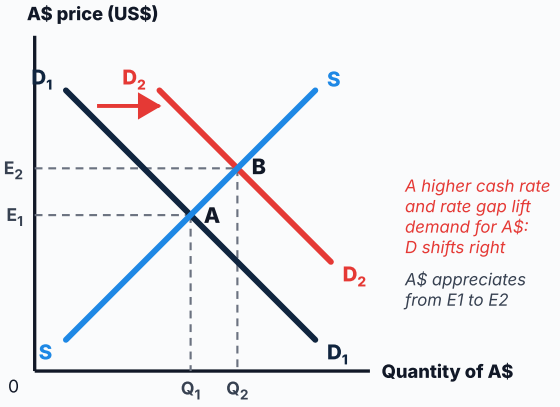
Raises it ↑	Stronger productivity growth and AI investment
Raises it ↑	Larger government deficits, which reduce public saving
Lowers it ↓	Population ageing, which raises desired saving
Lowers it ↓	Rising inequality, which shifts income to high savers
Lowers it ↓	Repairing balance sheets after the financial crisis (now fading)

Because Australia is a small open economy, changes in world rates matter: one study suggests changes in the US neutral rate explain around half the variation in Australian estimates. The cash rate of 4.85% is slightly above the top of the range of neutral estimates, but the estimates are very uncertain. In one RBA model the 90% range spans about 7 percentage points.

So what? If world rates have risen structurally, the same cash rate is less restrictive, which supports the Board's judgement that "a further tightening in financial conditions is warranted".

DIAGRAM

Exchange rate: the market for the Australian dollar



1. A higher cash rate and wider rate gap make Australian assets more attractive, so demand for A$ rises: **D** shifts right.
2. The A$ appreciates from E_1 to E_2, which makes imports cheaper and exports dearer.
3. In 2026 other countries raised rates too, so the Statement finds the A$ little changed since August, about 5% above January.

Illustrative, not to scale. Exchange rate facts: RBA SMP Nov 2026, section 1.4.

FLOW CHART

Technology and investment: the AI chain

Global AI demand surges (semiconductors, data centres)

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East Asian export prices jump: South Korea's rose about 40% over the year to the September quarter

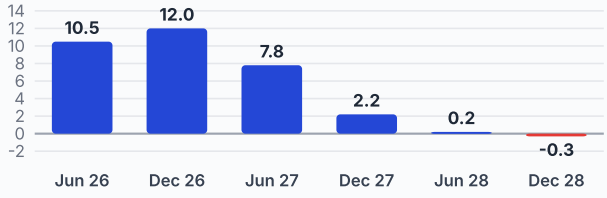
↓

Imported AI-related goods cost more: computers, TVs and consoles lift durable goods inflation in Australia

↓

Local data-centre building draws on construction, adding to capacity and price pressures

Business investment growth is forecast to peak, then fade



Year-ended, %. Data-centre investment is a key driver of the near-term strength.
Source: RBA SMP Table 3.1.

Exam angle: because Australia is highly integrated with world trade and finance, it imports price shocks and follows global interest rate moves. That limits what monetary policy alone can do: the RBA can slow domestic demand but cannot change the world oil price. Link each channel to **globalisation** (S1.1).

SYLLABUS LINK

Topic 1 – **The Global Economy**: trade in goods (1A.3), financial flows (1A.4), investment and technology (1A.5, 1A.6), the international business cycle (1A.8, 1D.9), the role of the IMF (1B.2) and the effects of globalisation on inflation and external stability (S1.1).

TRY THIS

Explain how developments in the global economy influenced the RBA's decision to raise the cash rate in November 2026. Use a diagram. **(6 marks)**

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RBA, Statement on Monetary Policy, November 2026 (forecasts finalised 28 October 2026)